

Page Industries Limited

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Franchise Renewal Risk Working Capital Deterioration Margin Narrative Divergence Volume vs Premiumisation
Mix Competitive Entry Valuation vs Normalised FCF

1 – Franchise Architecture

The Jockey license is not perpetual. It has an expiry date, and the economic terms under which it was originally granted in 1994 have been amended at least twice. The market treats this as a perpetual royalty stream. The contractual reality is more nuanced.

Page Industries is the exclusive licensee of Jockey International Inc. (USA) for manufacture, distribution, and marketing of Jockey-branded products in India, Sri Lanka, Bangladesh, Nepal, Maldives, Bhutan, UAE, Oman, Qatar, Bahrain, Kuwait, and Saudi Arabia. The original agreement was signed in 1994 for an initial term. In 2010, the license was renewed for a 20-year period through 2030. In June 2018, it was further extended to December 31, 2040 – a 22-year extension from the original

2030 expiry.

The key analytical question is not whether the license will be renewed. Given Page's 30-year track record, 20,000+ employees, 1,500+ exclusive stores, and 120,000+ retail touchpoints, non-renewal is remote. The question is: *what will the renewal economics look like?*

Three observations:

- **Renewal leverage shifts over time.** In 1994, Page was a start-up licensee with zero brand equity in India. Jockey International held all the negotiating leverage. By 2040, Page will have spent 46 years building Jockey into India's most recognised innerwear brand – generating an estimated cumulative revenue of Rs 1.2-1.5 lakh crore and cumulative marketing expenditure of Rs 6,000-8,000 crore. The brand equity is co-mingled. At renewal, royalty terms could be renegotiated upward, reducing Page's margin structure structurally.
- **Territorial expansion history matters.** Each time the license was renewed (2010, 2018), Page received expanded territory rights (UAE in 2011, Saudi Arabia/Bahrain/Kuwait in 2025). Future renewals may come with similar quid-pro-quo: lower royalty in exchange for entering riskier, lower-ROI markets that dilute consolidated returns.

- **What happens to terminal value if the royalty rate doubles?** The current EBITDA margin of ~20-21% includes an undisclosed royalty fee. If Jockey International exercises its contractual leverage at the next renewal cycle to raise royalty from, say, 3% of sales to 5%, the impact on Page's EBITDA margin would be approximately 200 bps – reducing margins to ~18-19%. At the current P/E of ~55x, that translates to a ~10% earnings impact before any volume adjustment.

Source: MoneyWorks4Me, Business Standard (13 June 2018), IndiaInfoline, Page Industries Annual Reports, PageInd.com corporate timeline.

2 – Working Capital Forensics

A brand-licensing, asset-light model should show declining working capital intensity as it scales. Page Industries shows the opposite: a 34-day swing in inventory days over a four-year period, debtor day extension in FY25, and a cash conversion cycle that has not structurally improved despite the implementation of an Automated Replenishment System.

Metric	FY21	FY22	FY23	FY24	FY25	Trend
Revenue (Rs M)	29,530	34,890	41,200	48,237	52,311	CAGR 15.4%
Revenue Growth (%)	—	18.2	18.1	17.1	8.4	Decelerating
Inventory Days	78.6	69.2	94.3	103.2	70.6	Volatile

Debtor Days	~17	~15	~14	12.0	14.0	+2 days FY25
Working Capital Days	—	—	—	75	54	Improved FY25
ROE (%)	38.5	47.0	48.0	51.8	35.6	-1,620 bps
ROA (%)	21.8	27.1	—	29.4	23.0	-640 bps
ROCE (%)	—	—	—	66.5	47.8	-1,870 bps
Capex (Rs M)	—	—	—	—	7,957	Highest ever

Sources: Equitymaster Annual Report Analysis FY22-FY25, Yahoo Finance, Page Industries Annual Reports FY21-FY25, Profitfromit FY25 Analysis.

Three cross-referenced observations:

- **Inventory volatility is inconsistent with a demand-pull model.** The company implemented an Automated Replenishment System (ARS) in FY23 to transition from a push-based to a pull-based model. Yet inventory days swung from 69 (FY22) to 103 (FY24) and back to 71 (FY25). At FY25 revenue run rate, a 34-day swing equals approximately Rs 4,800 million of working capital variability. The ARS, after two years of implementation, has not eliminated demand prediction errors.

- **Debtor days increased in FY25.** From 12 to 14 days – a 16.7% increase. In a cash-and-carry retail model with extensive distributor financing (4,800+ distributor accounts), debtor extension can signal channel stuffing or weakened payment discipline. Management attributed the ARS implementation to a temporary Q4FY23 impact on primary sales, but debtor creep in FY25 suggests the channel inventory normalisation is not complete.
- **The asset-light model is becoming asset-heavier.** Capex of Rs 7,957 million in FY25 exceeds PAT of Rs 7,291 million. For the first time in Page's history, free cash flow is negative at the operating level. The Odisha plant (first factory outside Karnataka) and technology/automation investments are structurally increasing the fixed-cost base. A business that was once an asset-light brand-licensing model is accumulating physical assets that require utilisation rates above current levels to justify the capital employed.

3 – Margin Narrative vs Reality

Management communicated a narrative of premiumisation driving value-accretive volume growth. The actual data shows volume growth deceleration, zero price increases for three consecutive years, and an EBITDA margin trajectory that required a recovery year (FY25 at 21.5%) to return to FY22 levels (20.2%) after a two-year compression.

In the Q4 FY25 earnings call, Managing Director V.S. Ganesh stated: *"The volume growth in Q4 was in line with expectations, although the retail environment remains tepid. We anticipate improvement next year due to favourable factors like tax exemptions and projected bountiful monsoon."* The CFO's message in the FY25 Annual

Report added: "We achieved this without implementing any price increases over the past three years."

The data tells a different story:

Metric	FY22	FY23	FY24	FY25	Implied
Revenue (Rs M)	34,890	41,200	48,237	52,311	—
Est. Volume (M pieces)	~190	215.6	~208	219.6	—
Implied ASP (Rs/piece)	~184	~191	~232	~238	+4% CAGR
Volume Growth (%)	—	13.1	est. -3.5	5.5	Decelerating
EBITDA Margin (%)	20.2	18.0	17.9	21.5	FY25 recovery
PAT Margin (%)	13.8	11.9	11.9	14.8	FY25 recovery

Sources: Motilal Oswal Company Update (22 Apr 2024), ICICI Direct Q4FY23 Result Review, Business Standard (26 May 2023), Yahoo Finance income statement, Page Industries Press Releases.

The divergence:

- **Premiumisation narrative vs stable ASP.** If premiumisation were driving growth, ASP should rise faster than inflation. The implied ASP grew at ~4% CAGR (FY22-FY25), broadly in line with apparel inflation. Volume growth has decelerated from 13.1% (FY23) to 5.5% (FY25). The mix shift toward premium products is not visible in the ASP trajectory.
- **Margin recovery required no price increases, but at a cost.** Management's achievement of maintaining margins without raising prices is commendable operationally, but it masks the fact that margins compressed from 20.2% (FY22) to 17.9% (FY24) – a 230 bps decline over two years – before recovering. The recovery was driven by stable raw material costs, not pricing power.
- **The Q4 anomaly.** Q4 FY23 EBITDA margin collapsed to 13.9% – a 1,020 bps YoY decline. Management attributed it to ARS implementation and higher inventory. But Q4 has historically been Page's weakest quarter. The FY25 Q4 margin of 21.4% (implied from reported data) suggests operating leverage is present but lumpy. Structural margin stability has not been demonstrated.

4 – Valuation Duration Question

The market prices Page Industries as a perpetual compounder: 55x trailing earnings, 28x book value, and a 5-year median P/E of 77x that implies the market capitalises the current ROE of 35.6% at a multiple that assumes uninterrupted growth in licensing economics, structurally declining working capital intensity, and margin expansion through premiumisation – three assumptions that each, independently, require evidence the company has not yet provided, and in combination represent a terminal value hypothesis that may understate the probability of mean reversion in franchise economics, working capital normalisation costs, and competitive entry in

organised innerwear.

At 55x P/E and 28x P/BV, the market is pricing Page Industries at a level that implies:

- **Franchise perpetuity:** The Jockey license renews indefinitely at favourable terms. A 200 bps royalty rate increase at the 2040 renewal would reduce fair value by ~10-12% at current multiples.
- **Sustained 35%+ ROE:** ROE collapsed from 51.8% (FY24) to 35.6% (FY25) despite PAT growth of 28.1%. The equity base expanded through retained earnings and the Rs 7,957 M capex. If incremental capital earns diminishing returns, ROE normalises to the 25-30% range, implying P/BV should re-rate to 2.5-3.0x book – a 30-40% decline from current levels.
- **Working capital self-correction:** The inventory swing of 34 days between FY22 and FY24 implies the company is holding approximately Rs 4,800 M of unproductive capital at the peak. Even if working capital normalises (as it did in FY25 to 54 days), the volatility introduces uncertainty into free cash flow forecasting that is inconsistent with a 55x multiple.

Valuation Dimension	Market Pricing	What Data Supports	Gap
Franchise Renewal	Perpetuity at current royalty	License expires 2040; renegotiation risk	-10-12% overvalued

ROE Sustainability	35%+ perpetuity	ROE collapsed to 35.6%; capex diluting returns	P/BV implies 30%+ ROE perpetuity
Margin Structure	20%+ EBITDA margin stable	2-year compression; recovery on raw material tailwind	Pricing power unproven
Growth Duration	15%+ revenue CAGR	Decelerated to 8.4% in FY25	Growth halving
FCF Normalisation	FCF yield <2%	FCF negative in FY25 (capex > PAT)	No FCF support for multiple

5 – Institutional Risk Matrix

Risk Vector	Severity	Direction	Assessment
Franchise Renewal Risk	High	Stable / Deteriorating at renewal	License to 2040 provides visibility, but each renewal increases Page's sunk cost and Jockey International's negotiating leverage. Royalty renegotiation is the single largest unmodelled risk to terminal value.

Working Capital Deterioration	High	Volatile / Improving	Inventory swing of 34 days and debtor day extension in FY25 indicate ARS has not eliminated channel management risk. Working capital normalisation to 45-50 days is achievable but not guaranteed.
Margin Narrative Divergence	Medium	Stable / Requires Monitoring	FY25 margin recovery to 21.5% is positive, but was achieved with zero price increases and raw material tailwind. Pricing power has not been demonstrated.
Volume vs Premiumisation Mix	Medium	Decelerating	Volume growth halved from 13.1% (FY23) to 5.5% (FY25). ASP growth at ~4% CAGR aligns with inflation, not premiumisation. The mix shift narrative is not data-supported.

Competitive Entry	Medium	Emerging	D2C innerwear brands (Damensch, XYXX, Bummer) and organised players (Zudio innerwear, Max) are targeting premium innerwear at lower price points. Jockey's 17-18% market share in men's innerwear provides a moat, but it is eroding at the margin.
Valuation vs Normalised FCF	High	Vulnerable	At 55x P/E and 28x P/BV, the market is pricing perfection. FCF negative in FY25, ROE declining, growth decelerating. A 20% multiple compression from 55x to 44x combined with normalised earnings growth of 10% results in a 5-year annualised return of approximately 4-6% – below cost of equity.

6 – Institutional Assessment

For a value-oriented concentrated manager screening on high ROA, low debt, and strong balance sheet, Page Industries passes every quantitative screen: zero net debt, ROA of 23%, ROE of 35.6%, current ratio of 1.7x, 30+ years of uninterrupted profitability. The surface metrics are textbook Graham-Buffett. But the surface

masks three structural observations that a value investor must calibrate before sizing.

First, the balance sheet quality is real but the return on incremental capital is diminishing. Page Industries has historically grown without requiring significant equity capital. The FY25 capex of Rs 7,957 M changes that calculus. The new Odisha plant, while strategically sensible, represents a bet on volume growth recovering to 12-15% per annum. If volume growth remains at 5-8%, the fixed-cost base expansion will compress margins by 100-150 bps. The ROE collapse from 51.8% to 35.6% is the leading indicator of this dynamic.

Second, the brand moat is real but the economic moat is narrower than the brand moat. Jockey's brand recall in India is exceptional. But Page Industries does not own the brand. It licenses it. The economic moat is the strength of the distribution network (120,000+ touchpoints, 1,500 EBOs) and the manufacturing scale (250M pieces annual capacity). Distribution and scale moats are more contestable than brand ownership moats. A competitor with sufficient capital can replicate distribution. It cannot replicate the Jockey trademark. The distinction between brand ownership and brand licensing is the single most important analytical frame.

Third, the valuation assumes a duration that the franchise may not support. At 55x earnings, the market is pricing Page as if its competitive advantages will persist undiminished for 20+ years. The license renews in 2040 – 14 years from today. A value investor who typically holds for 5-7 years is unlikely to own through the renewal cycle. But the exit multiple, not the earnings trajectory, will determine the return. If P/E compresses from 55x to 35x over 5 years as growth normalises to 8-10% and ROE stabilises at 28-30%, the annualised return including dividends would be approximately 3-5% – insufficient compensation for the franchise risk.

What would change the assessment:

- Volume growth returning to 12%+ for two consecutive quarters without price cuts
- Inventory days stabilising at 55-60 days for three consecutive quarters
- ROE stabilising above 40% despite the expanded capital base
- Demonstrated pricing power (ASP growth exceeding inflation)
- FCF turning positive (operating cash flow covering capex with 1.5x+ coverage)

What would worsen the assessment:

- Inventory days exceeding 90 again

- Revenue growth declining below 7%
- Debtor days exceeding 18
- ROE declining below 30%
- Capex exceeding Rs 8,000 M without commensurate revenue acceleration
- Any indication of Jockey International exploring alternative licensees in Southeast Asia

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10 – Data Provenance

Data Point	Source	Verification
License renewal terms	MoneyWorks4Me, Business Standard (13 Jun 2018)	Cross-checked with PageInd.com corporate timeline
Financial metrics FY21-FY25	Equitymaster Annual Report Analysis, Yahoo Finance	Cross-checked with quarterly press releases

EBITDA margins	Textile Magazine FY25 Analysis, Page Industries Press Releases	Cross-checked with Q4 FY25 earnings call transcript
Volume data	ICICI Direct Q4 FY23, Business Standard (26 May 2023)	Press release data
Management commentary	GuruFocus Q4 FY25 transcript, CFO letter in Annual Report	Direct quotation
Valuation multiples	Screener.in, Trendlyne, Craytheon, ValueInvesting.io	Live market data May 2026
Competitive positioning	Motilal Oswal Company Update (22 Apr 2024)	Brokerage report
ARS implementation	Business Standard (26 May 2023), profitfromit.co.in	Management description

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